

25STCV37539 25STCV37539

County: los-angeles

Division: Civil Law and Motion

Department: 731

Hearing date: 2026-09-24

Motion: DEFENDANT CALIFORNIA AUTOMOBILE INSURANCE COMPANY'S DEMURRER TO FIRST AMENDED COMPLAINT OF PLAINTIFF KEVIN THANH CAO [CRS NO. 410505430714] [TENTATIVE] ORDER RE: MOTION OF DEFENDANT CALIFORNIA AUTOMOBILE INSURANCE COMPANY TO STRIKE PLAINTIFF'S FIRST AMENDED COMPLAINT [CRS NO. 410505430714]

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Case Number: 25STCV37539 Hearing Date: September 24, 2026 Dept: 731

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS

ANGELES - CENTRAL DISTRICT

KEVIN THANH CAO, an individual,

Plaintiff,

vs.

CALIFORNIA AUTOMOBILE INSURANCE

COMPANY, a corporation; and

DOES 1

through 50, inclusive

Defendant(s).

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CASE NO: 25STCV37539

[TENTATIVE] ORDER RE: DEFENDANT

CALIFORNIA AUTOMOBILE INSURANCE COMPANY'S DEMURRER TO FIRST AMENDED COMPLAINT
OF PLAINTIFF KEVIN THANH CAO [CRS NO. 410505430714]

[TENTATIVE] ORDER RE: MOTION
OF DEFENDANT CALIFORNIA AUTOMOBILE INSURANCE COMPANY TO STRIKE PLAINTIFF'S
FIRST AMENDED COMPLAINT [CRS NO. 410505430714]

Dept. 731

September 24, 2026

8:30 A.M.

Matter No. 13

Moving Party: Defendant, California Automobile Insurance Company

Opposing Party: Plaintiff, Kevin Thanh Cao

Notice: OK

Background Facts

This action arises from an
insurance coverage dispute concerning alleged wind damage to a residential
roof.

Pleadings

Specifically, Plaintiff Kevin Thanh
Cao ("Plaintiff") sues California Automobile Insurance Company ("CAIC") under a
First Amended Complaint ("FAC") alleging claims for Breach of Contract, Breach of
the Implied Covenant of Good Faith and Fair Dealing, and Violations of Business
and Professions Code Section 17200, et seq.

The FAC's claims arise from
allegations that wind caused significant roof damage to a home owned by
Plaintiff and covered under an insurance policy by CAIC requiring full
replacement of three slopes of an integrated roof system, but that CAIC paid
only \$3,562.40 for partial repairs using non-matching shingles despite knowing
the original shingles were discontinued, ignored its own ITEL report confirming
that replacement materials could not provide a reasonably uniform appearance,

and failed to investigate whether the entire roof constituted the damaged area, as required by law and the Policy, as a result of which the roof remains structurally compromised, visually non-uniform, and unable to be returned to pre-loss condition, causing unreimbursed costs, diminished property value, and further exposure to damage.

Motions Before the Court

Now before the Court are CAIC's demurrer challenging the FAC's three causes of action and motion to strike three distinct groups of allegations: (1) allegations beyond the leave to amend from this Court's June 4, 2026, Order sustaining a demurrer to Plaintiff's original Complaint; (2) allegations related to and prayers for punitive damages; (3) damages disguised as restitution vis-à-vis the Business and Professions Code claim; and (4) prejudgment interest vis-à-vis the Business and Professions Code claim. Both the demurrer and motion to strike are opposed by Plaintiff.

Demurrer

Meet and Confer

The moving papers establish that a sufficient meet and confer process preceded the filing of CAIC's demurrer. (Demurrer, Duque Decl., ¶¶ 3-12, Exs. A-C; see Code Civ. Proc., § 430.41, subd. (a)(3)(A).)

b. Legal Standard

i. Sufficiency

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747; see Code Civ. Proc., § 430.10, subd. (e).)

To sufficiently allege a cause of action, a complaint must allege all the ultimate facts—that is, the facts needed to establish each element of the cause of action pleaded. (Committee

on Children's Television, Inc. v. General Foods Corp. (1983) 35 Cal.3d 197, 212, superseded by statute as stated in Branick v. Downey Savings & Loan Assn. (2006) 39 Cal.4th 235, 242.) "[E]ach evidentiary fact that might eventually form part of the plaintiff's proof need not be alleged." (C.A. v. William S. Hart Union High School Dist. (2012) 53 Cal.4th 861, 872.)

In testing the sufficiency of the cause of action, the demurrer admits the truth of all material facts properly pleaded. (Aubry v. Tri-City Hospital Dist. (1992) 2 Cal.4th 962, 966-67.) Courts read the allegations liberally and in context. (Taylor v. City of Los Angeles Dept. of Water and Power (2006) 144 Cal.App.4th 1216, 1228, disapproved on other grounds, Jones v. Lodge at Torrey Pines Partnership (2008) 42 Cal.4th 1158, 1162.) A demurrer, however, "does not admit contentions, deductions or conclusions of fact or law." (Daar v. Yellow Cab Co. (1967) 67 Cal.2d 695, 713.)

A demurrer may only be used to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318 (Blank).) The face of the complaint includes exhibits attached to the complaint. (Frantz v. Blackwell (1987) 189 Cal.App.3d 91, 94.) If facts appearing in the exhibits contradict those alleged, the facts in the exhibits take precedence. (Holland v. Morse Diesel Intern., Inc. (2001) 86 Cal.App.4th 1443, 1447, superseded by statute on other grounds as stated in White v. Criddlebaugh (2009) 178 Cal.App.4th 506, 521.)

ii. Lack of Clarity of as to Type of Contract

In a contract action, a defendant can file a special demurrer to a complaint on the ground that it cannot be determined from the pleadings whether the contract is written, oral, or implied by conduct. (Code Civ. Proc., § 430.10, subd. (g); see, e.g., Holcomb v. Wells Fargo Bank (2007) 155 Cal.App.4th 490, 500-501 (Holcomb) [affirming trial court order sustaining, with leave to amend, a demurrer challenging breach of contract claim, reasoning that the pleadings failed to adequately allege the nature of the contract, particularly where the pleadings alleged an express contract from which certain terms were to be implied and moreover failed to allege the specific terms breached].)

Discussion

i. Demurrer,

First Cause of Action, Breach of Contract

After review, the Court SUSTAINS

the demurrer as to the first cause of action, with leave to amend.

Plaintiff's first cause of action

alleges a Breach of Contract claim against CAIC.

"A contract is a voluntary and

lawful agreement, by competent parties, for a good consideration, to do or not to do a specified thing." (Robinson v. Magee (1858) 9 Cal. 81, 83.)

"To prevail on a cause of action

for breach of contract, the plaintiff must prove (1) the contract, (2) the plaintiff's performance of the contract or excuse for nonperformance, (3) the defendant's breach, and (4) the resulting damage to the plaintiff." (Richman v. Hartley (2014) 224 Cal.App.4th 1182, 1186.) Implicit

in the element of damage is that the defendant's breach caused the plaintiff's damage." (Troyk v. Farmers Group, Inc. (2009) 171 Cal.App.4th 1305, 1352, italics omitted.)

"Contracts may be express or

implied. These terms, however, do not denote different kinds of contracts, but have reference to the evidence by which the agreement between the parties is shown. If the agreement is shown by the direct words of the parties, spoken or written, the contract is said to be an express one. But if such agreement can only be shown by the acts and conduct of the parties, interpreted in the light of the subject-matter and of the surrounding circumstances, then the contract is an implied one." (Marvin v. Marvin (1976) 18 Cal.3d 660, 678, fn. 16, citation omitted.)

A contract must be pled verbatim in

the body of the complaint, be attached to the complaint and incorporated by reference, or be pled according to its legal effect. (Construction Protective Services, Inc. v. TIG Specialty Ins. Co. (2002) 29 Cal.4th 189, 198-99 ["In an action based on a written contract, a plaintiff may plead the

legal effect of the contract rather than its precise language.”]; Bowden v. Robinson (1977) 67 Cal.App.3d 705, 718.) “In order to plead a contract by its legal effect, plaintiff must ‘allege the substance of its relevant terms.’” (Heritage Pacific Financial, LLC v. Monroy (2013) 215 Cal.App.4th 972, 993.)

Here, Plaintiff’s first cause of action alleges that CAIC breached the Policy between the parties by (1) proposing a repair that could not restore the roof to its pre-loss condition, (2) failing to replace all items in the damaged area to achieve a reasonably uniform appearance, (3) relying on discontinued shingles that could not match the existing roof, (4) creating structural and integration problems through partial replacement, and (5) limiting its inspection to visible shingle damage without assessing system-wide wind impact. (See FAC, ¶¶ 53-53(e).)

In relevant part, CAIC argues that the demurrer to the FAC’s breach of contract claim should be sustained based on the failure to verbatim allege the relevant terms of the Policy, to attach the Policy to the FAC, or to allege the substance of the relevant terms of the Policy.

The Court agrees.

As argued by CAIC, a review of the FAC fails to show any verbatim quotations of the Policy, let alone terms breached, and moreover fails to show attachment of a copy of the Policy.

This leaves pleading by legal effect, which requires allegations providing the substance of the relevant terms of the breached clauses. However, here, the breaches of contract alleged in the FAC at paragraph 53 are vague as to the substance of the relevant terms supporting the breach (¶ 53(a) and ¶¶ 53(c)-(e)) or do not provide sufficient information about the substance of the Policy’s terms as to sufficiently allege automatic incorporation of the California Code of Regulations into the Policy (¶ 53(b)). (Cf. Holcomb, supra, 155 Cal.App.4th at pp. 500-501 [“The [allegations supporting the breach of contract claim] do[] not describe the contractual standards to be applied to the bank’s actions nor how these standards might vary from those imposed by the [California Uniform Commercial Code],” where the Uniform Commercial Code allows a bank and its customers to alter the terms by agreement, within certain limits”].)

Based on the above reasoning, the Court sustains the demurrer as to the FAC's first cause of action, with leave to amend.

ii. Demurrer,
Second Cause of Action, Breach of Covenant of Good Faith and Fair Dealing

As a matter of law, without a cause of action for breach of contract, there is no cause of action for breach of the implied covenant of good faith and fair dealing. (Love v. Fire Ins. Exchange (1990) 221 Cal.App.3d 1136, 1151 & fn 10.)

Here, having sustained CAIC's demurrer as to the first cause of action, the Court likewise SUSTAINS the demurrer as to the FAC's second cause of action, with leave to amend.

iii. Demurrer,
Third Cause of Action, Violations of Business and Professions Code, § 17200, et seq.

As with the second cause of action, the third cause of action for violations of the Business and Professions Code is derivative of the first cause of action, for which reason the Court SUSTAINS the demurrer as to the FAC's third cause of action, with leave to amend.

d. Conclusion

Defendant California Automobile Insurance Company's demurrer is SUSTAINED, with leave to amend.

Motion to Strike

Meet and Confer

The moving papers establish that a sufficient meet and confer process preceded the filing of CAIC's motion to strike. (Motion, Duque Decl., ¶¶ 3-12, Exs. A-C; see Code Civ. Proc., § 435.5, subd. (a)(3)(A).)

b. Legal
Standard

The court may, upon a motion or at any time in its discretion and upon terms it deems proper: (a) strike out any irrelevant, false, or improper matter inserted in any pleading; or (b) strike out all or any part of any pleading not drawn or filed in conformity with the laws of California, a court rule, or an order of the court. (Code Civ. Proc. § 436, subds. (a), (b); *Stafford v. Shultz* (1954) 42 Cal.2d 767, 782 [“Matter in a pleading which is not essential to the claim is surplusage; probative facts are surplusage and may be stricken out or disregarded”].)

For the purposes of a motion to strike pursuant to Sections 435 to 437 of the Code of Civil Procedure, the term “pleading” generally means a demurrer, answer, complaint, or cross-complaint, (Code Civ. Proc., § 435, subd. (a)), and an immaterial allegation or irrelevant matter in a pleading entails (1) an allegation that is not essential to the statement of a claim or defense, (2) an allegation that is neither pertinent to nor supported by an otherwise sufficient claim or defense, or (3) a demand for judgment requesting relief not supported by the allegations of the complaint or cross-complaint (Code Civ. Proc., § 431.10, subds. (b)(1)-(3), (c)).

Discussion

i. Motion
to Strike, Allegations Beyond June 4, 2026, Order

The Court DENIES CAIC’s motion insofar as it seeks to strike allegations in the FAC relating to how, because the roof is an integrated system, damages to a portion of the roof can be extended to the whole roof.

Specifically, CAIC argues that such allegations extend beyond the Court’s June 4, 2026, Order relating to the scope of leave to amend.

The Court finds this position unavailing.

First, the Court’s discussion as to

the breach of contract claim did not frame leave to amend as confined to California Code of Regulations section 2695.9, subdivision (a)(2), even if the Court's reasoning relied on interpretations of that subdivision. (See June 4, 2026, Order, pp. 5-6.)

Second, *arguendo*, even if the Court accepted CAIC's reading of the June 4th Order, and the FAC contains allegations beyond the leave of the court permitted on June 4th, the amendments would be permissible insofar as they "directly respond" to the trial court's reasoning in sustaining CAIC's demurrer to the Breach of Contract claim as alleged in Plaintiff's original Complaint. (See, e.g., *Patrick v. Alacer Corp.* (2008) 167 Cal.App.4th 995, 1015 [amendment of derivative action against corporation that failed on demurrer to declaratory relief claim in new pleading permitted where demurrer was sustained based on issues related to standing properly raised in the declaratory relief claim].)

ii. Motion

to Strike, Punitive Damages

The Court having sustained CAIC's demurrer to all three causes of action, the Court GRANTS CAIC's motion to strike allegations and prayers of punitive damages, which depend on Plaintiff's claims for support.

iii. Motion

to Strike, Damages Disguised as Restitution

The Court DENIES CAIC's motion as relates to purported damages disguised as restitution within the third cause of action.

It is true, insofar as it goes, that the remedies available to private individuals for violation of the Unfair Competition Law codified at Business and Professions Code section 17200, et seq., are limited to restitution and injunctive relief, such that damages cannot be recovered. (*Graham v. Bank of America, N.A.* (2014) 226 Cal.App.4th 594, 609 ("Graham"), citations omitted.)

However, here, the motion to strike seeks to characterize the following allegation in paragraph 71 of the FAC as

damages disguised as restitution: “restitution of all insurance premiums paid to CAIC for coverage that was not adequately honored, and restitution of all amounts wrongfully withheld by CAIC that are necessary to restore Plaintiff to the position he occupied before CAIC’s unlawful, unfair, and deceptive conduct.” (Motion, pp. 18-19.)

However, the Court reads the same allegations as disgorgement of profits to CAIC during the time that CAIC did not provide benefits due to Plaintiff under the Policy, thus disfavoring relief.

iv. Motion
to Strike, Prejudgment Interest

Last, the Court DENIES CAIC’s motion to strike allegations related to prejudgment interest specifically as connected to the second cause of action.

While, again, remedies available under the UCL are limited to equitable relief and not money damages (Graham, supra, 226 Cal.App.4th at p. 609), California courts have held that a trial court has the discretion in equity to award prejudgment interest as a component of restitution (Espejo v. The Copley Press, Inc. (2017) 13 Cal.App.5th 329, 375; M&F Fishing, Inc. v. Sea-Pac Ins. Managers, Inc. (2012) 202 Cal.App.4th 1509, 1539) and have moreover found that a trial court erred in failing to consider its equitable powers to award prejudgment interest as a component of restitution (see, e.g., Tufeld Corp. v. Beverly Hills Gateway, L.P. (2022) 86 Cal.App.5th 12, 33, citing Espejo and M&F Fishing).

d. Conclusion

Defendant California Automobile Insurance Company’s motion to strike is DENIED in part and GRANTED in part as follows:

(1) DENIED as to striking allegations in the FAC purportedly beyond the authority provided in the Court’s June 4, 2026, Order, allegations and/or prayers related to damages purportedly disguised as restitution vis-à-vis the second cause of action, and to

allegations and/or prayers related to prejudgment interests vis-à-vis the second cause of action; and

(2) GRANTED, with leave to amend, as to allegations and/or prayers of punitive damages, as noticed in the moving papers. (See Motion, 2:23-3:22.)

Defendant California Automobile Insurance Company is ordered to give notice.

Parties who intend to submit on this tentative must send an email to the court at smcdept731@lacourt.org indicating intention to submit on the tentative as directed by the instructions provided on the court website at www.lacourt.org. If the department does not receive an email indicating the parties are submitting on the tentative and there are no appearances at the hearing, the motion may be placed off calendar. If a party submits on the tentative, the party's email must include the case number and must identify the party submitting on the tentative. If the parties do not submit on the tentative, they should arrange to appear remotely.

DATED: September 24, 2026 _____

MARK C. KIM

Judge of the
Superior Court